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Case Number: 24STCV13238 Hearing Date: July 8, 2026 Dept: 508

Superior Court of California

County of Los Angeles

Department 508

INSIDE THE PARK, LLC,

Plaintiff,

vs.

21 IN RIGHT, INC., et al.,

Defendants.

Case No.:

24STCV13238

Hearing

Date:

July 8,

2026

Hearing

Time: 10:00 a.m.

[TENTATIVE]

ORDER RE:

PLAINTIFF

INSIDE THE PARK, LLC'S MOTION FOR LEAVE TO FILE A THIRD AMENDED COMPLAINT

AND RELATED CROSS-ACTION

Background

On May 28, 2024, Plaintiff Inside The Park LLC ("ITP") filed this action against a number of defendants. On July 24, 2024, Plaintiff filed a first amended complaint ("FAC") against Defendants 21 In Right Inc., Luis R. Clemente, Roberto Clemente, Jr., CMG Worldwide, Inc., Mark Roesler, Legendary Pictures Productions, LLC, Teton Ridge Entertainment, LLC, and Tre Dev Co, LLC. The FAC alleges causes of action for (1) breach of contract, (2) breach of implied covenant of good faith and fair dealing, (3) fraud, (4) specific performance, and (5) declaratory relief. On November 19, 2024, ITP filed the operative second amended complaint ("SAC") alleging the same five causes of action.

On April 11, 2025, Cross-Complainants Teton Ridge Entertainment, LLC and Tre Dev Co., LLC filed their cross-complaint against ITP, Johan Hirsch, and Angel Munoz for (1) intentional interference with contractual relations, (2) negligent interference with contractual relations, (3) intentional interference with economic advantage, (4) negligent interference with prospective economic advantage, (5) violation of business and professions code section 17200, and (6) declaratory relief.

On June 6, 2025, Cross-Defendants ITP, Jonah Hirsch, and Angel Munoz filed an anti-SLAPP motion to strike the cross-complaint. On November 7, 2025, the Court granted the anti-SLAPP "as to the second cause of action for negligent interference with contractual relations only." (Minute Order 11/7/25, p. 1.)

ITP now moves for leave to file a third amended complaint ("TAC"). Defendants 21 In Right, Inc., Luis Clemente, and Roberto Clemente, JR (collectively, the "Clementes") oppose. ITP replied.

Legal Standard

Pursuant to Code of Civil Procedure section 473, subdivision (a)(1), “[t]he court may, in furtherance of justice, and on any terms as may

be proper, allow a party to amend any pleading.” Amendment is allowed “at any time before or after commencement of trial, in the furtherance of justice.” (Code Civ. Proc., § 576.) “[T]he court’s discretion will

usually be exercised liberally to permit amendment of the pleadings. The policy favoring amendment is so strong that it is a rare case in which denial of leave to amend can be justified.” (Howard v.

County of San Diego (2010) 184

Cal.App.4th 1422, 1428 [internal citations omitted].) “If the motion to amend is timely made and the granting of the motion will not prejudice the opposing party, it is error to refuse permission to amend.” (Morgan v. Superior Court of Los

Angeles County (1959) 172

Cal.App.2d 527, 530.) Prejudice includes “delay in trial,

loss of critical evidence, or added costs of preparation.” (Solit v. Tokai Bank (1999) 68 Cal.App.4th 1435, 1448.)

A motion to amend a

pleading before trial must include a copy of the proposed amendment or amended

pleading, which must be serially numbered to differentiate it from previous

pleadings or amendments. (Cal. Rules of

Court, rule 3.1324(a).) The motion must also state which

allegations are proposed to be deleted or added, by page, paragraph, and line

number. (Ibid.) Finally, “[a] separate declaration must accompany the motion and must

specify: (1) The effect of the amendment; (2)

Why the amendment is necessary and proper; (3) When the facts giving rise to

the amended allegations were discovered; and (4) The reasons why the request for

amendment was not made earlier.” (Cal. Rules of Court, rule 3.1324(b) [emphasis added].)

Discussion

As required by California Rules of Court, rule 3.1324(a), ITP’s counsel includes the TAC as well as a version with the proposed changes indicated in a different ink color. (Scott Decl., ¶¶ 2-3;

Exs. A-B.) ITP’s counsel explains the new amendments stating, inter alia,

that “the Third Amended Complaint include[s] three new causes of actions,

including (1) Negligent Misrepresentation against Defendants 21 In Right (‘21IR’),

Roberto Clemente Jr., Luis R. Clemente, CMG, and Mark Roesler, (2) Contractual

Indemnity against Defendants Roberto Clemente Jr. and Luis R. Clemente, and (3) Specific Performance of the consulting agreements against Roberto Clemente Jr. and Luis R. Clemente. Specifically, the proposed Third Amended Complaint outlines the terms under the consulting agreements entered into by ITP and the Clemente Brothers.” (Scott Decl., ¶ 4.) Counsel further attests that “the proposed Third Amended Complaint outlines the terms under the consulting agreements entered into by ITP and the Clemente Brothers, which requires the Clemente Brothers to render consulting services to ITP in relation to the film ITP seeks to develop based on the life of Roberto Clemente, and indemnify ITP and each of its members, including Jonah Hirsch and Agent Munoz “against any and all liability, damages, costs, and expenses (including reasonable outside attorneys’ fees and costs) in connection with any third-party claim or action arising out of the breach of any of Consultant’s representations, warranties, or agreements herein, or out of any criminal misconduct, gross negligence or intentionally tortious acts by Consultant.” The proposed Third Amended Complaint outlines the circumstances triggering this indemnity provision, including the recently filed Cross-Complaint filed by Teton Ridge Entertainment, LLC (‘Teton’) in this action which asserts claims against ITP and its members, Hirsch and Munoz, arising from ITP’s conduct undertaken in reliance on the Clemente Brothers’ and 21IR’s continued fraudulent and/or negligent misrepresentations that 21IR was able to deliver free and clear title to the film adaptation rights under the ITP Option Agreement. Finally, the proposed Third Amended Complaint adds a cause of action for negligent misrepresentation, in addition to the already pending fraudulent misrepresentation cause of action, against the Clemente Brothers, 21IR, CMG and Mark Roesler in connection with their representations to ITP in connection with 21IR’s ownership of the subject rights and ability to convey those same rights to ITP.” (Ibid.)

ITP’s

counsel further attests to when they discovered these new facts and why the requested amendment is being proposed now, stating that “this Motion is not brought for the purposes of delay or to gain any procedural advantage... The relevant

documents and information supporting these claims were only recently produced by the Clemente Brothers and CMG in late January 2026. In addition, Plaintiff’s Anti-Slapp Motion against Teton’s Cross-Complaint, which was filed on June 6, 2025, and heard on November 7, 2025, further delayed and stayed discovery in this action. As a result, Plaintiff was unable to propound discovery on Defendants until after the Anti-Slapp Motion was adjudicated. Accordingly, this

Motion is brought at Plaintiff's earliest opportunity, following its recent full review of the newly produced materials." (Scott Decl., ¶ 5.)

Based

on the foregoing, ITP adequately complied with the requirements prescribed by California Rules of Court, rule 3.1324.

In support of its

motion, ITP asserts that "[t]his Motion is brought pursuant to section 473 of the Code of Civil Procedure and the breadth of case law in California favoring the liberal allowance of amendments to pleadings, and is made on the grounds that the filing of the Third Amended Complaint is warranted in light of newly discovered information affecting the rights asserted and the facts presented as originally pled. Granting leave to amend will ensure that justice is administered in light of all of the facts, as they are now understood by Plaintiff, and that, in furtherance of justice, all claims against all relevant parties will be fully litigated and adjudicated in the same action." (Mot., 5:26-6:4.) ITP also contends that prejudice will not ensue because the "proposed TAC does not change the complexity of the case, nor does it add completely new or different facts to support the additional causes of action or additional defendants added. The TAC does not add any new witnesses, documents, or facts that would prejudice the existing defendants, as it does not change the nature of the case, nor does it inject different issues into the action. Additionally, there is more than sufficient time for Defendants to prepare this case for trial in connection with the proposed TAC." (Mot., 12:1-6.)

In the Clementes'

opposition, much of the argument for denying leave to amend rests on ITP's alleged lack of diligence and dilatory actions; however, "[t]he policy favoring amendment is so strong that it is a rare case in which denial of leave to amend can be justified." (Howard v. County of San Diego, *supra*, 184 Cal.App.4th at p. 1428.) Accordingly, the Clementes must demonstrate prejudice to overcome this policy.

The Clementes assert

that they will be unduly prejudiced by the proposed amendment. Specifically, the Clementes contend that "[f]or more than two years, the Clemente Defendants have been defending against Plaintiff's breach of contract and fraud causes of

action all at great cost. Now, just three months away from trial, Plaintiff seeks to remodel and reposition its case without any justification for its delay.” (Opp., 7:6-8.) They further assert that “[i]f the Clemente Defendants are now forced to litigate the new proposed causes of action, they undoubtedly will incur added litigation costs. Additionally, if they are now forced to litigate over Consulting agreements, the Clemente Defendants will be further prejudiced in that such claims may conflict with their ongoing contractual obligations under the Legendary Agreement.” (Opp., 7:9-12.)

ITP responds by

asserting that “[r]ather than demonstrating prejudice, Defendants devote most of their Opposition to arguing the merits of Plaintiff’s proposed new causes of action. But that is not the issue before the Court. Whether Plaintiff ultimately can prevail on its negligent misrepresentation, contractual indemnity, or specific performance claims is a question for demurrer, summary judgment, or trial—not a motion for leave to amend. At this stage, the Court’s inquiry is limited to whether amendment should be permitted in the furtherance of justice and whether Defendants will suffer actual prejudice if it is allowed. They will not.” (Reply, 2:16-22.) ITP further asserts that it “acted diligently. Discovery in this action was delayed while the parties litigated Plaintiff’s Anti-SLAPP Motion. Following the completion of that proceeding, Plaintiff obtained substantial document productions from CMG and the Clemente Defendants, reviewed those materials, evaluated the legal significance of the information revealed through discovery, and promptly sought leave to amend.” (Reply, 2:23-27.)

ITP further refutes the

Clementes’ assertion of prejudice, stating that “[t]he centerpiece of Defendants’ Opposition is the assertion that Plaintiff waited until ‘just three months before trial’ to seek leave to amend. (Opp. at 2, 7.) That assertion is simply incorrect. On May 7, 2026, this Court continued trial to March 10, 2027. The Court further ordered that ‘the discovery cut off, the motion cut-off, and all trial related deadlines are deemed reset and re-established as if the New Trial Date is the first trial date set in this matter.’ Accordingly, there remains more than eight months before trial, together with a full discovery period under the Court’s scheduling order.” (Reply, 3:6-12.)

ITP distinguishes the

instant case from the cases the Clementes cited in support of their opposition, asserting that in decisions where leave to amend has been denied, trial was

looming, extensive discovery had been completed, and the moving party's motion was unreasonably delayed. ITP notes that "[d]iscovery in this case remains in its early stages. The Clemente Defendants have not taken any depositions. Expert witnesses have not been designated. No party will be required to duplicate completed discovery or significantly alter an existing trial strategy. Instead, any additional discovery relating to the proposed claims will simply occur within the ordinary discovery process that remains available before trial. Nor do Defendants identify any witness who has become unavailable, any evidence that has been lost, or any specific discovery that cannot now be completed. Their claimed prejudice consists largely of generalized assertions that they will incur additional litigation costs. But the possibility that a defendant must defend additional legal theories arising from the same underlying facts is not the type of prejudice that justifies denying leave to amend under California law." (Reply, 3:21-4:2.) Additionally, ITP asserts it did not delay in bringing the instant motion because "[t]he relevant inquiry is not when Plaintiff first became aware that the Consulting Agreements existed or that competing claims to the Roberto Clemente rights had been asserted. Rather, the question is whether Plaintiff acted diligently after discovery supplied the factual and evidentiary basis for asserting additional legal claims. Plaintiff did. The proposed Third Amended Complaint is based upon information obtained through discovery, together with the legal significance of that information as it became apparent through discovery and subsequent events in this litigation. As set forth in Plaintiff's moving papers and the Scott Declaration, Plaintiff received substantial document productions from CMG and the Clemente Defendants in late January 2026, completed its review of those materials, evaluated the information produced, and promptly sought leave to amend." (Reply, 4:13-22.) The Court finds ITP's assertions persuasive in refuting the Clementes' alleged prejudice and explaining why ITP timely made its motion.

However, the Clementes' opposition also offers another explanation for denying leave to amend. The Clementes assert that the proposed amendment is a sham pleading that contradicts the facts contained in the original complaint. Specifically, the Clementes contend that the "original complaint is unequivocal: The Clemente Defendants 'intentionally' made material misrepresentations of fact with knowledge of the falsity of same in conscious disregard of Plaintiff's rights. See Complaint, paras. 46, 47 and 50. Those allegations are supported by the words of Plaintiff's own principal, Jonah Hirsch, who in October 2023 wrote: 'I'm over Roberto – he's a liar' and 'Roberto is busy with depositions . . . Wait

until he has to answer questions under oath as a defendant in a fraud case.” (Opp., 8:6-11.) The Clementes aver that “[a]fter aggressively pursuing its fraud claim and realizing that it cannot prove the unequivocal allegations set out in the Complaint, Plaintiff, in essence, ignores those allegations and now seeks to pursue claims of negligent misrepresentation. Plaintiff offers no explanation why the allegations of the proposed amendment contradict those made in conjunction with the fraud claim. Without and [sic] such plausible explanation, Plaintiff’s proposed amendment should be treated as a ‘sham.’” (Opp., 8:14-19.)

In response, ITP refutes this contention, stating that “[t]he operative complaint alleges that Defendants represented they possessed the authority to convey the Roberto Clemente rights and did so knowingly and intentionally. The proposed Third Amended Complaint alleges those same representations, made by the same parties, concerning the same transactions. Nothing about those underlying factual allegations changes. The only difference is that Plaintiff seeks to plead an additional theory of recovery should the trier of fact ultimately conclude that Defendants lacked actual knowledge of falsity but nevertheless made the representations without reasonable grounds for believing them to be true. Those theories are not factually inconsistent. They merely involve different mental states arising from the same conduct.” (Reply, 6:21-7:1.) Further, ITP asserts that “[t]he sham pleading doctrine has no application here because Plaintiff has not attempted to avoid prior factual admissions or manufacture a new version of events. Instead, Plaintiff seeks only to add alternative legal theories arising from the same agreements, the same witnesses, the same documentary evidence, and the same operative facts already before the Court.” (Reply, 7:8-11.)

Although the Clementes assert prejudice, ITP’s reply refutes these assertions. The Clementes’ possible prejudice arises from additional discovery costs and an impending trial date, but trial is set for March 10, 2027, and discovery is far from over, especially considering that the Clementes have yet to take any depositions. Moreover, the Clementes only generally allege the prejudice they may experience, rather than providing the Court with concrete examples. Moreover, the Clementes assert that ITP’s new pleading is an improper sham pleading. However, ITP’s proposed TAC does not contradict the previous complaints, as it merely adds new legal theories to the same preexisting factual circumstance. Given that ITP complied with California Rules of Court, rule 3.1324, provides a satisfactory

explanation for why the amendment is being made now, and demonstrates that the Clementes' alleged prejudice is conjecture, the Court finds that leave to amend should be granted.

Conclusion

Based

on the foregoing, ITP's motion for leave to file a third amended complaint is GRANTED. ITP is ordered to provide notice of this Order.

DATED: July

8, 2026 _____

Hon. Teresa

A. Beaudet

Judge,

Los Angeles Superior Court